

Policy Memo

Why Monetary Expansion Is Failing in China — and What Policymakers Can Do

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Executive Summary

Since 2020, China has experienced weak inflation and episodes of deflation despite rapid expansion of the money supply. This memo argues that the core problem is not insufficient liquidity, but a structural rise in money demand driven by precautionary motives. Heightened uncertainty, weak income expectations, stress in the real estate sector, and erosion of institutional confidence have led households to hold money as a store of safety rather than spend it. As a result, monetary expansion has been absorbed rather than circulated, weakening the link between money growth and prices.

Policy implication: Further monetary easing alone has limited effect in reviving demand. Effective policy must reduce households' incentive to self-insure by restoring confidence and shifting toward direct, household-centered interventions.

The Policy Problem

China's post-pandemic economy exhibits a clear monetary paradox. Despite rapid growth in the money supply, prices have remained broadly stagnant. Average CPI inflation fell from 2.18 percent in 2016–2020 to 0.77 percent in 2021–2025, with inflation frequently near zero or negative in recent years. At the producer level, deflation has been even more severe: as of May 2025, the Producer Price Index had recorded 32 consecutive months of year-on-year declines, amounting to nearly three years of persistent factory-gate deflation.

On the surface, monetary expansion appears to be failing to reach the real economy. Liquidity is abundant, yet households and firms have not meaningfully increased borrowing or spending. Policymakers often describe this outcome as a failure of credit transmission. While this characterization captures the immediate symptom, it does not explain why economic agents are choosing to absorb liquidity rather than deploy it through consumption or investment.

Why Credit Transmission Is Failing

Precautionary motives dominate household behavior.

Household behavior has shifted decisively toward liquidity. After 2021, loan growth slowed markedly as households pulled back from borrowing and risk-taking, signaling a move away from consumption and investment toward precautionary saving. This reflects heightened uncertainty rather than constraints on credit supply.

The real estate shock has weakened wealth and expectations.

Since 2021, falling home prices, mortgage boycotts, and project delays have undermined confidence

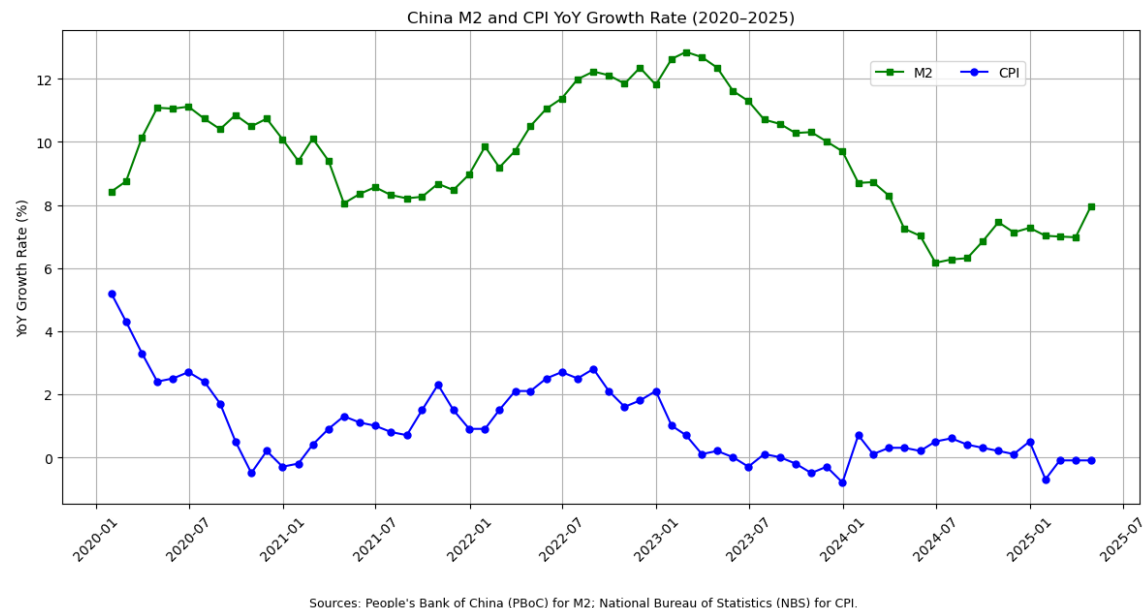


Figure 1: *

Figure 1: From early 2020 to April 2025, China's broad money supply (M2) rose by over 50%, while CPI remained subdued and slipped into deflation by mid-2023.

in housing as both a store of value and a source of returns. As housing lost its anchoring role in household portfolios, savings increasingly flowed into cash and deposits, raising money demand. Historically, real estate had been the central pillar of household wealth accumulation and investment returns in China.

Income expectations remain weak amid labor market stress.

Post-pandemic growth volatility and persistent labor market weakness have weighed heavily on expectations. Youth unemployment peaked above 21 percent in 2023 and remains elevated at 16–18 percent in 2024–2025. These conditions reinforce pessimism about future income and strengthen incentives to self-insure through saving.

Erosion of institutional confidence has reinforced liquidity preference.

Prolonged lockdowns during the pandemic, abrupt regulatory changes, and uncertainty around property rights and employment stability have weakened confidence in institutional reliability. As a result, liquidity is held not only for financial reasons, but also as psychological and systemic insurance. In this environment, uncertainty about policy stability has increased the perceived value of holding money, helping explain why precautionary behavior remains elevated despite abundant liquidity.

Why Monetary Expansion Alone Is Insufficient

Traditional monetary policy assumes that increased liquidity reduces money demand and stimulates

spending. When precautionary motives dominate, this mechanism fails. Additional liquidity is absorbed into balance sheets rather than converted into consumption or investment. As a result, further monetary expansion is likely to have limited effect on spending or inflation.

Policy Recommendations

Shift from monetary expansion to direct household support. Policies should directly reduce households' need to self-insure through targeted fiscal transfers, time-limited consumption incentives, and expanded household-level subsidies.

Strengthen the social safety net. Enhancing unemployment insurance, health coverage, and pension security would reduce precautionary saving and restore the transactional role of money.

Restore confidence in the housing market. Housing completion guarantees and balance-sheet support should prioritize households rather than intermediaries. Credible protection of homeowners' wealth is essential to reversing liquidity hoarding.

Improve policy credibility and predictability. Clear communication, regulatory stability, and fewer abrupt policy reversals are critical to rebuilding institutional trust and anchoring expectations.

Conclusion

China's deflationary pressures are not primarily the result of insufficient liquidity, but of excess demand for liquidity. Insufficient credit transmission explains the immediate symptoms, but the deeper cause lies in precautionary behavior driven by uncertainty and weakened confidence. Without policies that directly address these structural forces, further monetary expansion alone is unlikely to revive spending or inflation.

Supporting Exhibits

Selected charts from the accompanying analysis of China's deflation

These exhibits provide the empirical basis for the preceding memo, tracing the argument from the core paradox through its underlying drivers:

Exhibit 1. The paradox: broad money supply (M2) rises while consumer prices stagnate.

Exhibit 2. The mechanism: household deposits surge as loan demand falls (precautionary saving).

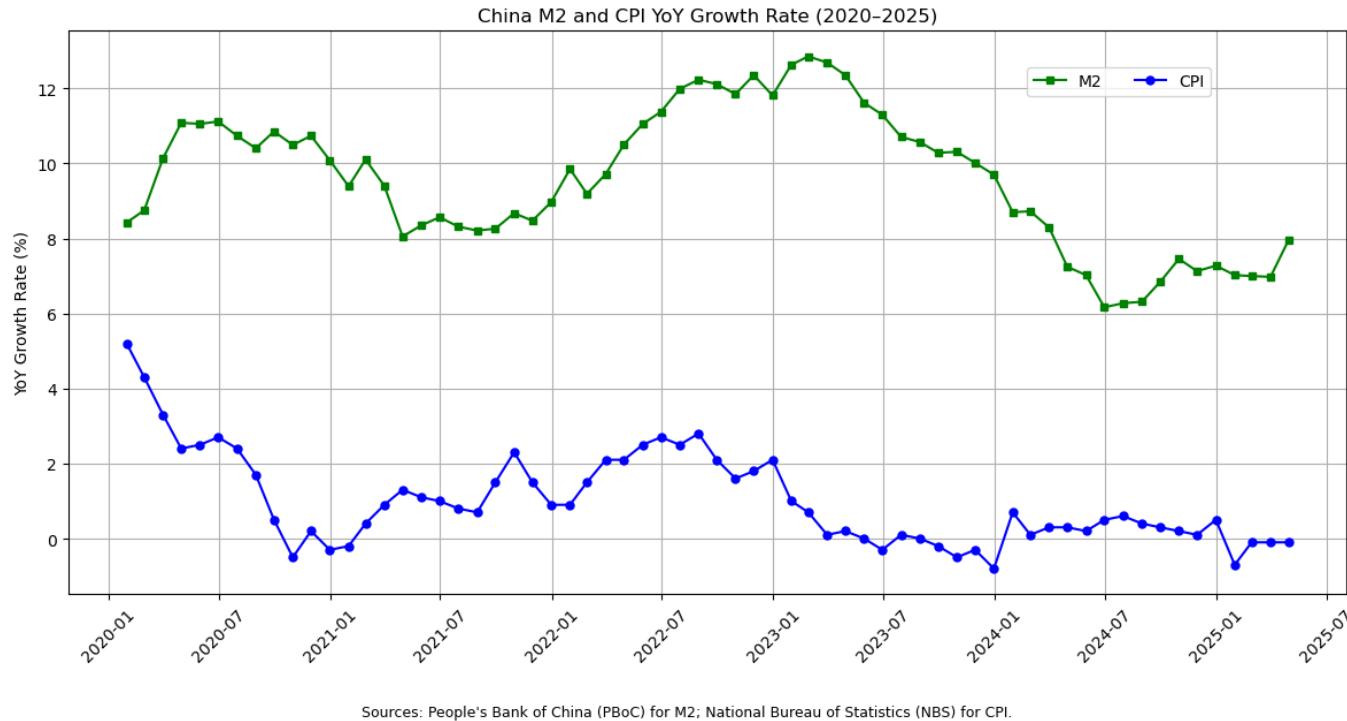
Exhibit 3. The housing shock: falling property confidence drives a flight to cash.

Exhibit 4. Consumer confidence plunges and stays subdued after 2022.

Exhibit 5. Persistently high youth unemployment sustains precautionary behaviour.

Charts compiled by the author from People's Bank of China, National Bureau of Statistics, World Bank, and J.P. Morgan Asset Management / CEIC data.

The Inflation Paradox: Rising Money Supply, Stagnant Prices



- From early 2020 to April 2025, China's broad money supply (M2) rose by over 50%, from approximately RMB 215 trillion to over RMB 320 trillion.

Rising Precautionary Savings, Falling Loan Demand

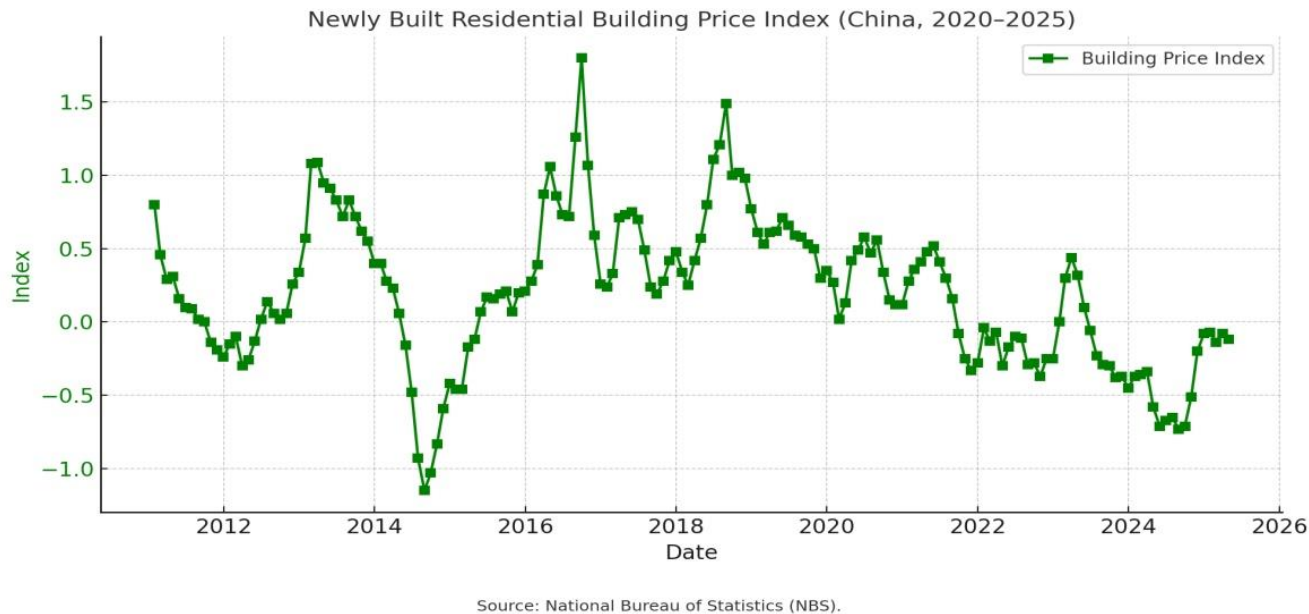
Exhibit 3: Chinese Household Deposits and Loans
Rolling 12 month new increases (trillion RMB)



Source: People's Bank of China, CEIC, J.P. Morgan Asset Management. Data reflect most recently available as of 18/10/24.

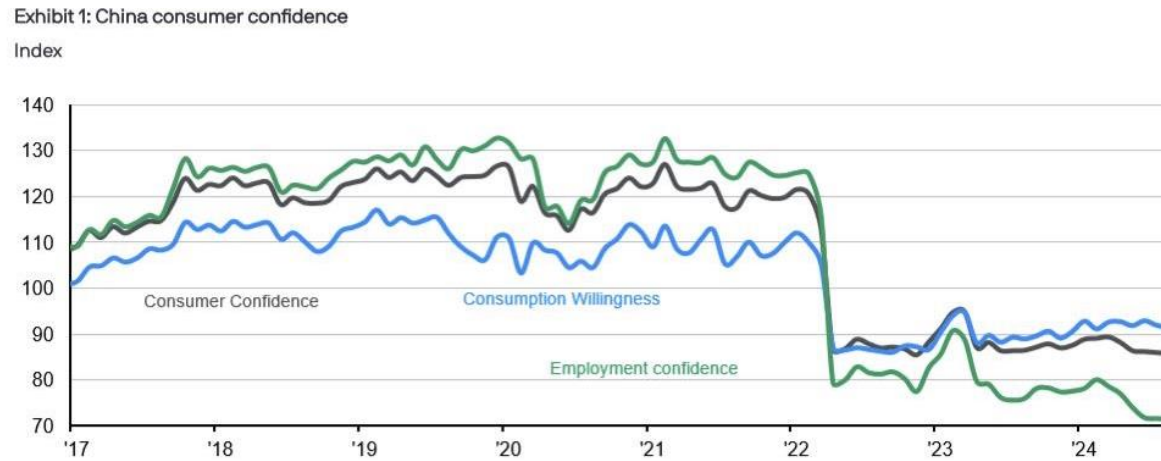
- Loan growth steadily declined after 2021, as households pulled back from borrowing and risk-taking.
- A move from consumption and investment toward precautionary saving, reflecting heightened uncertainty and weaker income growth.

The Real Estate Shock: Eroding Confidence in Housing



- In response, households have moved toward more liquid, lower-risk holdings, primarily cash and deposits, fueling an increase in real money demand.
- The downturn has further narrowed an already limited menu of attractive and accessible investment options, especially for risk-averse households who face limited exposure to equities or offshore assets.

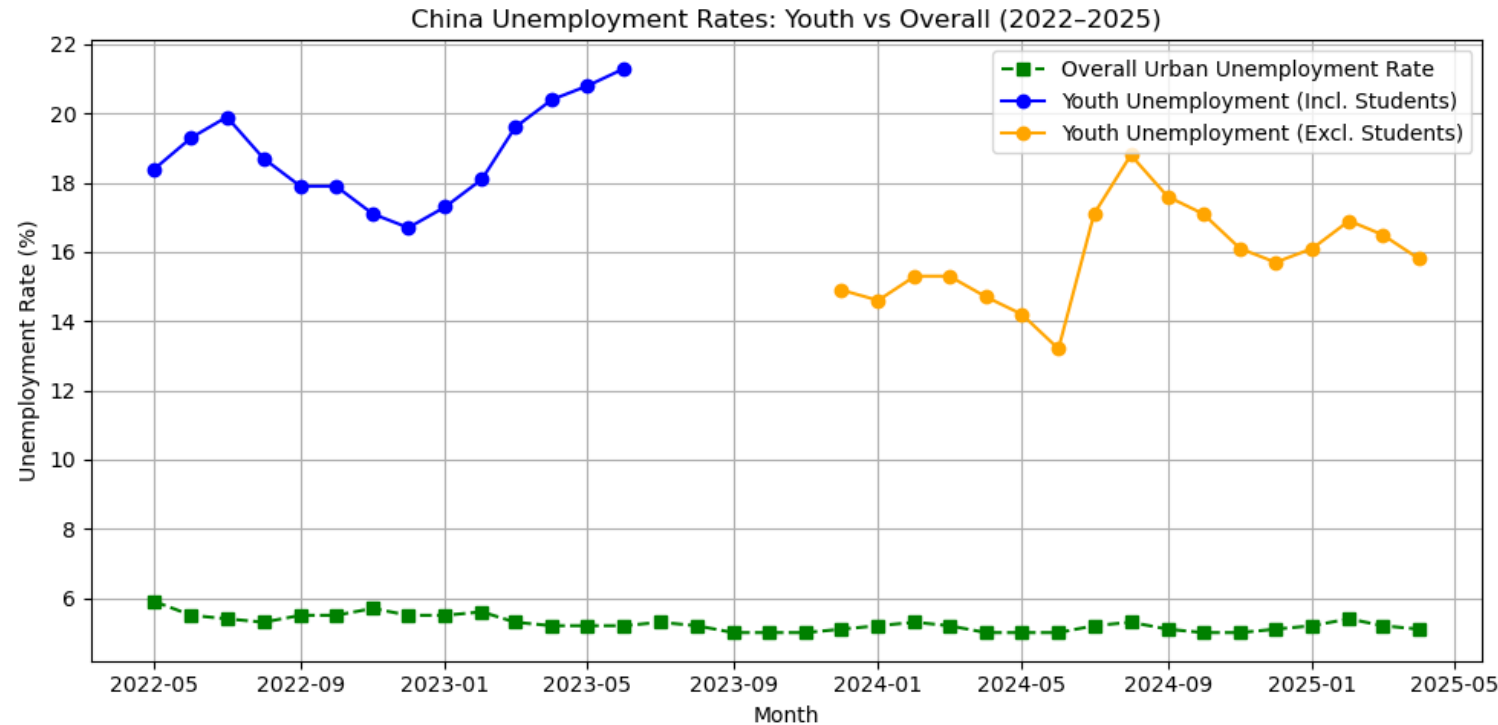
Sharp Drop in Consumer Confidence After Pandemic



Source: National Bureau of Statistics, CEIC, J.P. Morgan Asset Management.
Data reflect most recently available as of 18/10/24.

- Post-pandemic consumer confidence plunged sharply in 2022 and remains subdued, reflecting deep declines in both employment confidence and consumption willingness.
- This sustained weakness underscores heightened uncertainty and supports the rise in precautionary saving.

Concerning Youth Unemployment Rate



Note: Beginning in December 2023, youth unemployment statistics were revised to exclude full-time students. The reported rates from that point onward reflect only non-student labor force participants.
Source: National Bureau of Statistics (NBS).

- Youth joblessness peaked at over 21% in 2023, and even under the revised metric, excluding full-time students, remains persistently high at 16–18% in 2024–2025. These trends underscore a
- Widespread deterioration in expectations about labor market stability and future income, especially among younger cohorts.